

Balfour Beatty

Ticker BALF – Building & Construction Sector

Balfour Beatty Investment Research Report- Group 4

Recommendation				
Target Price	914p			
Share Price	826p			
Market Cap	£3.93bn			
Shares in Issue	488.1			
12m Trading Range	435p – 839.3p			
Free Float	481m			
Next Event	7 May 2026 Annual General Meeting			
	FY23A	FY24A	FY25A	FY26E
Revenue	8.0	8.5	9.6	10.1
YoY growth%	2.7%	5.9%	14.0%	5.0%
EBITDA (£m)	160.0	88.6	223.0	234.2
EBIT (£m)	153.9	83.8	219.5	230.5
PBT (£m)	243.9	218.8	328.2	343.9
PAT (£m)	216.0	199.0	209.0	219.4
EPS Basic (£)	0.41	0.41	0.61	0.68
EPS Full Dilution (£)	0.40	0.40	0.61	0.64
Net Cash (£bn)	1.3	1.6	1.9	1.9

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1. Investment Summary

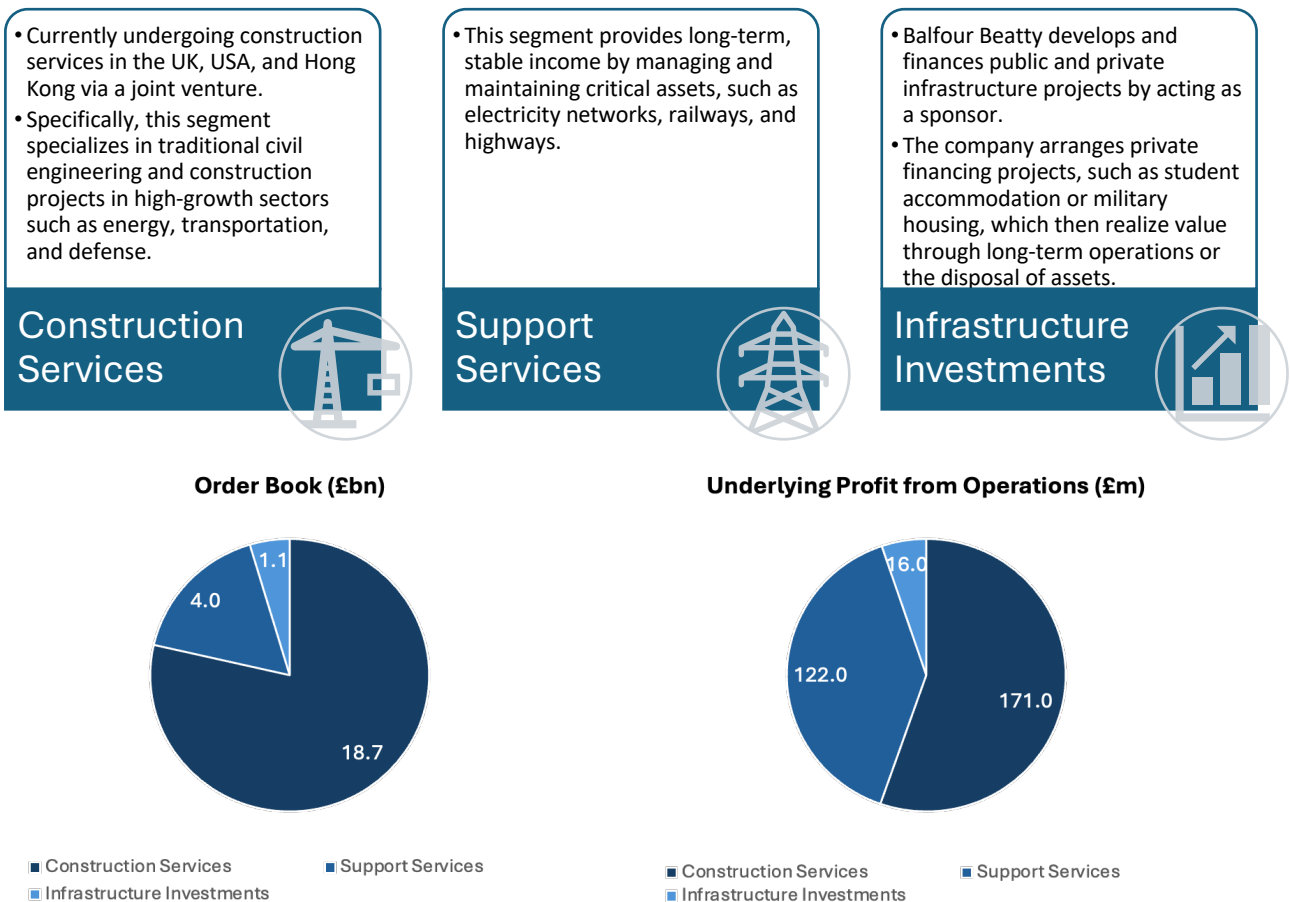
This investment research report has been put together by study group S Laughter based on the assessment of Balfour Beatty (BBY) for IFTE0015: Portfolio Management and Asset Allocation in Private Equity and Venture Capital 25/26 module. The investment recommendation for Balfour Beatty is a BUY at a target price of 914 pence from DCF valuation, representing a 11% upside to the current 826 pence (22 April 2026 close). Key drivers of value include strong growth opportunities from increased demand for Artificial Intelligence (AI) data centre and support services, the company's strong position and competitive advantage of delivering cutting-edge infrastructure projects and ongoing U.S. expansion, which would ensure Balfour Beatty continues to deliver a strong shareholder value of 15% to 23% Return on Equity (RoE) from 2026 to 2030.

Rating: BUY	Company: Balfour Beatty	Price as of 22 April 2026 (GBP) 826 pence
Sector: Building & Construction	Reuters: BALF.L	Target Price (GBP) 914 pence
	Bloomberg: BBY LN	52-week price range: 435 pence to 839.32 pence
	Exchange: London Stock Exchange Ticker: BALF	

2. Business Model and Financial Drivers

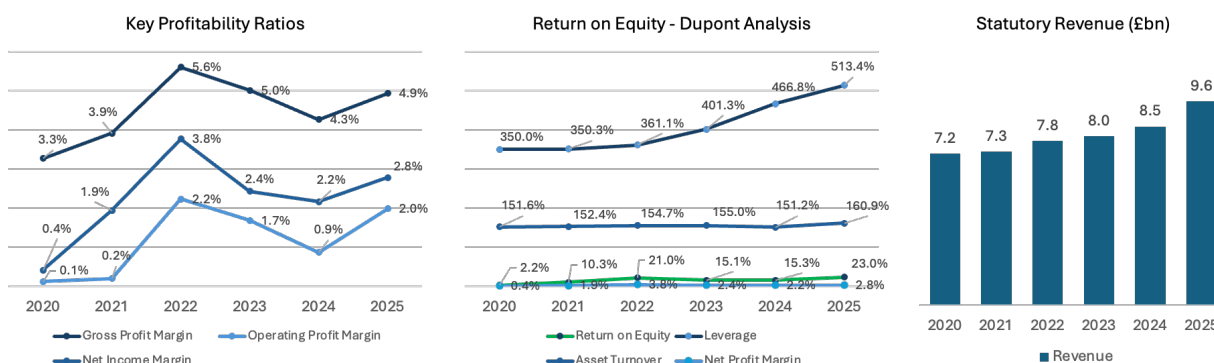
Balfour Beatty is a leading infrastructure group operating on a worldwide scale. It is ranked as the largest construction contractor in the UK by turnover. The Group has widened its business model and strategy from traditional construction towards a multi-dimensional model that includes design, construction, financing, and long-term maintenance of critical national infrastructure. Balfour operates through three distinct business segments. These segments provide a balanced mix of traditional earnings-based construction and service, as well as a high-value asset-based investment portfolio.

2.1. Revenue Drivers by Business Segments



2.2. Profitability and Balance Sheet Analysis

Over the last five years Balfour Beatty has achieved positive operating and net profit margins covering interest costs and high expenses associated with Industrials sector. The business has delivered a strong shareholder value of 15% to 23% Return of Equity driven by strong efficiency ratios, deployment of leverage, and positive net margin. Revenue has delivered year-on-year revenue growth with revenue growing from £7.2bn in 2020 to £9.6bn in 2025, of which double digit growth of ~14% was achieved in 2025 by UK power transmissions and U.S. buildings demand.



2.3. Geographical Footprint

The company operates in three key geography markets: UK, USA and Hong Kong where it maintains leading market position respectively.

UK	USA	Hong Kong
Leading market share in Power Transmission and major rail projects like HS2.	Leaders in US buildings like student accommodation and healthcare.	Strong presence through Gammon Construction joint venture where they deliver major transportation hubs.

2.4. Competitive Advantage

The Business Model within the group is driven by its core framework “Build-to-Last” which highlights and encourages disciplined project selection and operational excellence. Balfour Beatty’s order book grew by 23% to £22.7bn in full year 2025, which was driven by long-term UK energy contracts like Sizewell C and Hinkley Point C. In addition, Balfour Beatty held a robust average net cash position of £1.2bn in full year25, which allows the Group to organically fund growth projects and continue its policy of attractive shareholder returns through share buy-backs and dividends.

3. Recent Acquisitions

Balfour Beatty’s acquisition and investment activity has been driven by a clear strategic focus on the high-growth US residential market and operational safety technology. Specifically, the US residential sector includes student accommodation and multi-family housing as they have both been regarded as key growth markets by Balfour Beatty. Strategic rationale is that these assets

provide inflation-linked resilient cash flows that have less exposure to economic downturns rather than commercial office spaces.

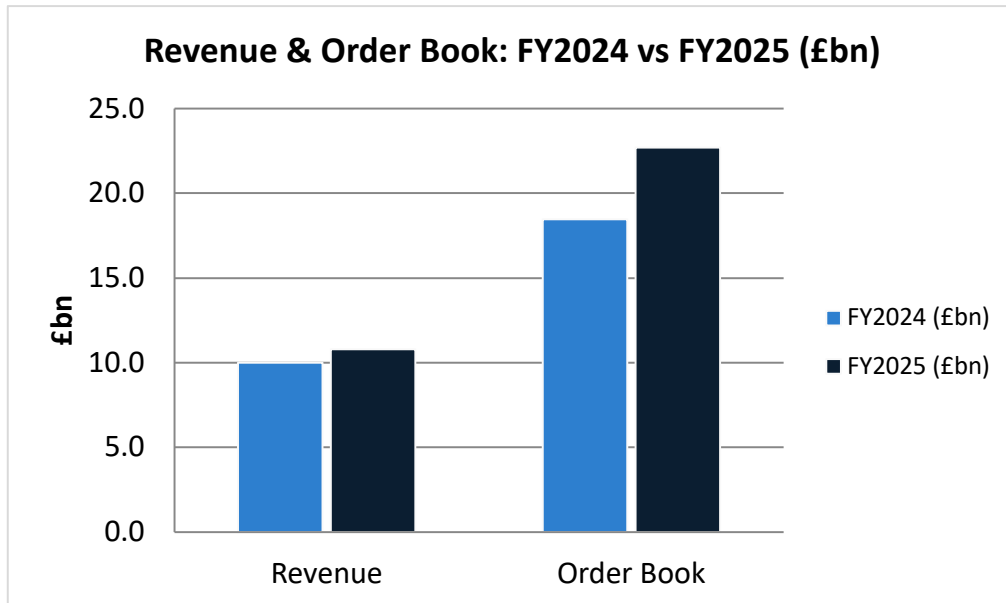
Timeline	February 2025	May 2025	January 2026
Acquisition	The Leonard	River Pointe	SpaceBands
Acquisition Type	Student housing property – 192 units, 564 beds	Premier multifamily property	Tech firm specializing in workspace and hazard wearables
Cost of Acquisition	£36m	Not publicly disclosed	£1.1m
Strategic Rationale	Take advantage of income opportunities of student accommodation demand from one of the fastest growing universities in America, University of Texas.	Balfour Beatty investment property portfolio expansion in Conroe, one of the fastest growing suburban regions in America. Supports cost efficiency from economies of scale.	Strategic investment which allows Balfour Beatty to deploy SpaceBand technology across construction projects to improve safety.
Location	Denton, Texas	Conroe, Texas	Cardiff

4. Market Analysis and Trends

4.1. Infrastructure-led exposure supports earnings resilience

Balfour Beatty's market exposure should be evaluated based on its focus on infrastructure and essential services, rather than general construction. While commercial and residential construction is influenced by private sector demand and borrowing rates, infrastructure demand is increasingly supported by public spending, regulated capital investments, and national priorities. This distinction highlights Balfour Beatty's stronger, more transparent earnings profile compared to that of general contractors.

This positioning is already reflected in the Group's current performance, highlighting the strength of its earnings profile. As a result, supportive market conditions are already translating into forward revenue visibility, evidenced by FY25 revenue rising 8% to £10.8 billion, while the order book grew 23% to £23 billion. (Balfour Beatty 2025 Full Year Results, 2026) What supports our anticipation of continued top-line growth and improved earnings visibility is this level of backlog, which forms a strong basis for medium-term revenue generation and diminishes dependence on short-term demand recovery.



4.2. UK infrastructure and power investment support order book visibility

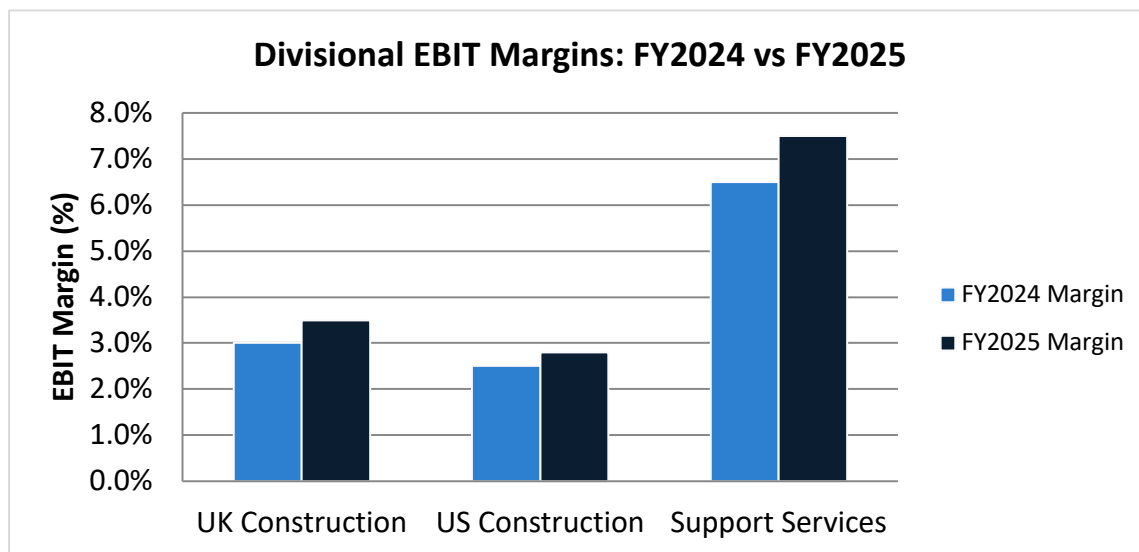
The domestic infrastructure market is showing signs of growth in areas where Balfour Beatty excels, and the company still manages to sustain strong profitability in the United Kingdom. Utilities, transportation, defence estate, and, most importantly, power and energy systems are all receiving an increasing share of available capital. Due to the increased technical complexity, long-term and ongoing funding clarity, and procurement procedures, these markets are inherently appealing, prioritising Balfour Beatty as a Tier 1 contractor with demonstrated execution capacity.

As a result, Balfour Beatty is exposed to a restructuring toward well-capitalised, high-quality projects, as well as a more pronounced cyclical recovery in the construction industry. While the increase in power-generating activities contributed to higher incoming orders, the UK construction margin increased from 3% in FY24 to 3.5% in FY25, as evident in the divisional performance. (Balfour Beatty 2025 Full Year Results, 2026) The positive shift in the job mix is implied by the increase in both backlog and the margin profile, which supports our conviction that the quality of profits is accelerating in tandem with revenue growth.

Within this context, cycles in power, electrification, and grid resilience are the fundamental drivers and prime movers of this investment cycle. There is a significant investment in improving electricity transmission and distribution, renewable connectivity, and system security in developed countries. As power-related work is typically less standardised, more technically

complex, and correlated with higher earnings exposure than conventional construction activity, for Balfour Beatty, this represents an exceptional growth opportunity.

Supporting this trend, power revenue has more than doubled over the past two years, with financial performance also clearly demonstrating this, as support services EBIT increased by 31% to £122m in FY25. (Balfour Beatty 2025 Full Year Results, 2026) This emphasises that the energy transition is not solely an abstract theoretical advantage; it is a concrete profit generator that justifies our medium-term profitability projections and enhances margin robustness.



4.3. US exposure enhances diversification and supports scalable growth

Balfour Beatty is provided with a second major demand pillar, as it materially strengthens the investment case through geographic diversification into the United States. The Group's exposure to the US maximises stable funding and demand characteristics because of its concentration in public infrastructure, institutional buildings, and longer-duration projects, rather than just being characterised as undifferentiated construction activity.

The US construction industry experienced a strong year-over-year increase in the second half of 2025 EBIT, with an order book of £7.8bn and sales of £4.5bn in the full year 2025. (Balfour Beatty PLC Results for the Full Year Ended 31 December 2025, 2026) This highlights the platform's scalability and its proven ability to drive revenue even in demanding market conditions.

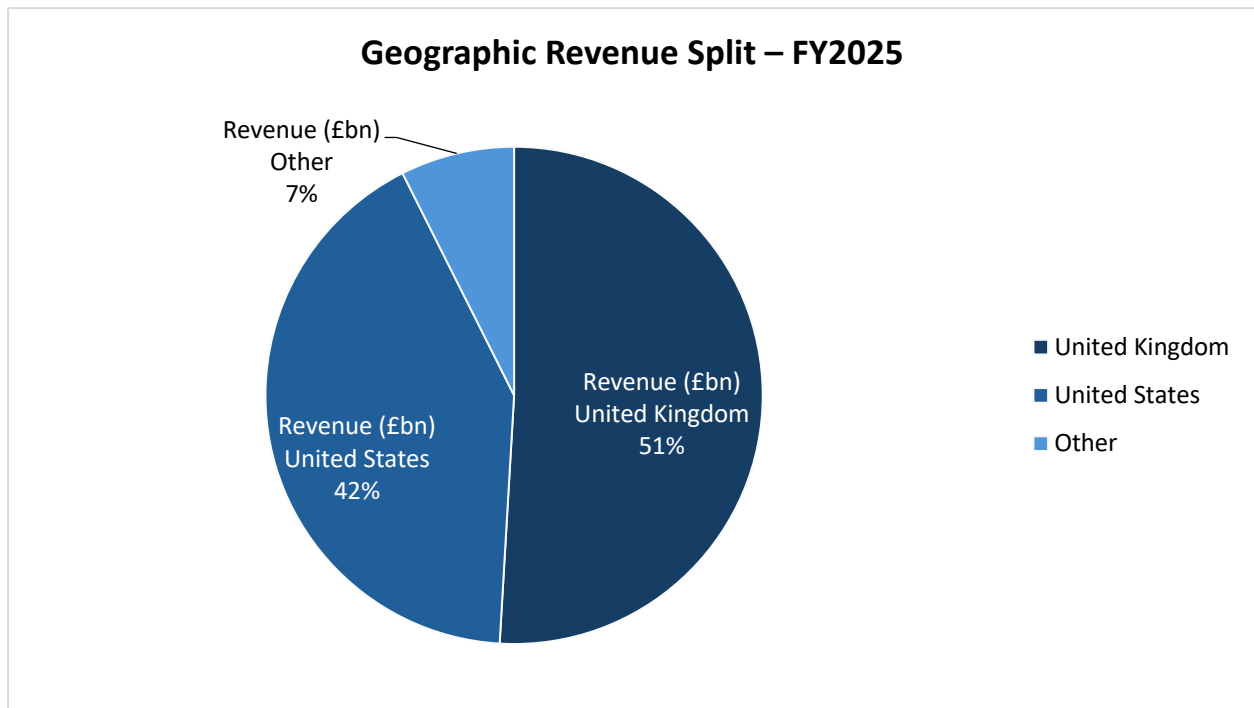
This exposure offers two significant financial advantages. The initial advantage is that, given variable financing and economic cycles, it distributes and diversifies monetary inflows and income sources across different regions of the world. Furthermore, due to the Group's strong position in one of the world's most prominent markets for public and infrastructure construction, its future expansion is assured. As we anticipate ongoing revenue growth at the Group level, the US business should be seen as a foundation for scalable development rather than a driver of instability.

4.4. Market structure supports margin resilience, which is advantageous to scalable contractors.

Balfour Beatty dominates in niche areas where high barriers to entry prevent competitors from easily contesting top-tier projects. Large-scale infrastructure, transport, and energy projects demand high-level technical expertise, sound financial backing, stringent safety standards, and a demonstrated history of successful delivery. These specifications hinder competition, skewing market share towards the limited amount of Tier 1 contractors.

Balfour Beatty's market structure strengthens its competitive advantage. Its scale allows selective contract bidding and effective risk management, enabling participation in complex, high-value projects. This results in disciplined labour management and improved margins. Recent strong performance, despite sector cost pressures, is driven by profit growth in Support Services and higher UK Construction margins, reflecting the benefits of its geographic positioning.

This structural advantage justifies a premium valuation. Due to the increased trust that these sectors engender, businesses in industries with substantial entry barriers and consistent revenue streams tend to obtain higher multiples from investors. The notion that Balfour Beatty should be re-rated relative to its more commodity-like construction competitors is supported by the company's structural position in these markets.



4.5. Market constraints are execution risks, not thesis-breakers

Despite a favourable market, the US and the UK construction sectors encounter headwinds from rising subcontractor costs, procurement delays, labour shortages, and wage inflation. However, evaluating these constraints through the lens of industry structure reveals that they do not dampen overall demand. These filters prioritise contractors with substantial operations, strong customer relationships, and operational discipline.

The ongoing growth in the order book, the optimisation of profit potential, and superior earnings suggest that Balfour Beatty is successfully managing these obstacles. Instead of hindering the Group's development or slowing its growth path, these obstacles are projected to reinforce the Group's competitive advantage, underpinning our assertion that superior execution is more critical to success than overall market demand in the current market conditions.

4.6. Investment implication: market trends support growth and earnings quality.

Ultimately, the current market developments are significant because they increase transparency, quality, and the longevity of profits while simultaneously bolstering business activity. Balfour Beatty's specific focus on the United States market share, the United Kingdom infrastructure

investments, and the rising demand for electricity positions the company for much stronger growth than traditional construction metrics imply.

Healthy performance of support services, rising order intake, and improving margin outlook support these developments. Over the medium term, we can anticipate that these elements will drive a clear profit forecast, safeguard margin stability, and sustain sales momentum.

Our research suggests that Balfour Beatty is transitioning from a late-cycle contractor to an infrastructure-led compounder with cyclical potential. We recommend a BUY rating on Balfour Beatty due to the potential for a re-rating of the company's value and the favorable impact on earnings growth.

5. Growth Opportunities

5.1. Energy Transition Infrastructure & Support Services

Balfour Beatty is uniquely positioned to directly contribute to the UK's rapid power transmission and grid upgrade projects. Primarily driven by offshore wind integration, electrification, and net-zero goals outlined by the UK government. Currently, the UK government has 834 projects planned, with an estimated value of £735bn over a 10-year period. The National Electricity System Operator highlighted £58 to £60bn of necessary transmission investment between 2026 and 2035. The National Grid's Holistic Network plan is set to unlock over £54bn in projects, with the company's transmission order book more than doubling between 2024 and 2025.

They are a vital partner to the National Grid, with current work on the £8bn Electricity Transmission Partnership project providing multi-year revenue visibility for Balfour Beatty. UK construction margins are improving by 80 bps year-on-year from 2.7% in 2024 to 3.5% in 2025. Balfour Beatty offers long-term support services for the infrastructure projects it constructs, providing steady revenue streams from completed projects. Support Services revenue grew by 18% year-on-year from £1,210m (2024) to £1,427m (2025). The growth has been driven primarily by Utilities & road support services. These earnings are consistent across the board, providing good visibility into Balfour Beatty's future earnings.

5.1.1 AI & Data Centers

Within the United Kingdom, demand for AI infrastructure, including data centers, has risen sharply. With UK data center electricity usage forecast to more than 5x by 2030, it is estimated to reach 26.2 TWh, accounting for 9% of UK electricity demands. UK data center projects could require up to 50 GW of power, pushing existing grid infrastructure to its limits. Balfour Beatty is well-positioned not only to construct future energy infrastructure projects but also to continue providing support services for them.

5.2. US Expansion

Balfour Beatty has diversified into the US, with a current deliberate pivot towards non-residential construction such as aviation, education & healthcare in the Sunbelt states. Their US order book jumped by 26% in 2024 and 18% in 2025, now accounting for ~87% of building revenue. Current order book growth is primarily driven by high demand for data centers, roads, and education. Balfour Beatty's current strategy focuses on high-growth US non-residential construction in high-growth states, which is expected to outperform the projected 7% CAGR through to 2029. Current outlines by Balfour Beatty's management set explicit targets for additional data-center projects in areas such as Washington and Oregon, where they already have pre-existing projects. They are currently targeting projects in Texas, Georgia & Pennsylvania. They recently secured projects in Dallas and Austin to upgrade highway infrastructure valued at \$1.63bn, with other projects in North Carolina valued at \$1.3bn.

5.3. UK Water Sector

Ofwat's PR24/AMP8 settlement allows for £96-104bn of investment by English & Welsh water companies between 2025-2030, roughly 3-4x the previous settlement. Huge schemes are planned for new service reservoirs, network reinforcement, and wastewater quality improvement across the Northwest. Thames Water, Severn Trent, Yorkshire, Anglian, and many other water companies have announced large programs aimed at reducing storm overflows and improving drought resilience. These projects provide a diverse pool of opportunities for Balfour Beatty to construct or provide services. Procurement in the sector is primarily via alliances and long-term frameworks. Balfour Beatty has a long and strong reputation for handling complex projects across the UK, with a strong position to tackle many AMP8 projects.

5.4. Defense & Strategic Transportation Corridors

The UK has committed to raising its defense spending to 2.5% of GDP, above the NATO 2% requirement. A large portion of expenditure will be directed toward modernizing the defense estate, including bases, training grounds, accommodation & logistic hubs. The current analysis highlights that the UK defense infrastructure pipeline is growing but is hampered by fragmented procurement and short-term projects. Balfour Beatty has a unique position, as it can construct and refurbish barracks, training facilities, runways, and railways, making it a one-stop shop for some defense infrastructure projects. The current defense estate is also pushing for improvements in digital and energy infrastructure, with a recent deal with Rolls-Royce Raynesway to help construct the nuclear-licensing infrastructure required to manufacture fissile components for the Royal Navy's submarines. Further projects include coastal defense schemes in the UK and management of one of the largest US military housing portfolios.

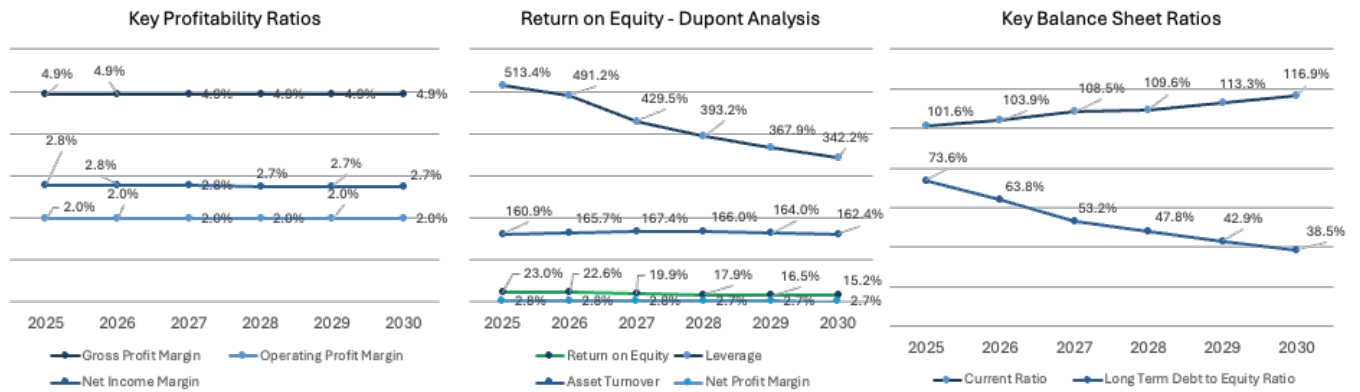
6. Forecasts

Balfour Beatty Management provided a guidance of 7% Operating Profit increase for the full year 2026 profits outlook. However, this has been revised downwards to 5% annual Operating Profit growth from 2026 to 2028 and 4% growth from 2029 to 2023, taking account ongoing geopolitical situation in the Middle East and the knock-on impact to global economy, cost of fuel etc. The company continues to deliver strong shareholder value of 15% to 22.6% Return on Equity (RoE) from 2026 to 2030. RoE declines from 22.6% (2026) to 15.2% (15.2%) relative to 23% (2025) is driven by reduction in leverage from the Dupont analysis conducted which illustrates leverage (asset divided by equity) decrease (from 513.4%) in 2025 to 342.2% (in 2030), whilst asset turnover is forecast to increase from 160.9% to 162.4% over the time horizon, whilst net profit margin remains broadly flat. Another measure of leverage long term debt-to-equity decreases from 73.6% in 2025 to 38.5% in 2030 and current asset ratio increases from 101.6% to 116.9% over the time horizon.

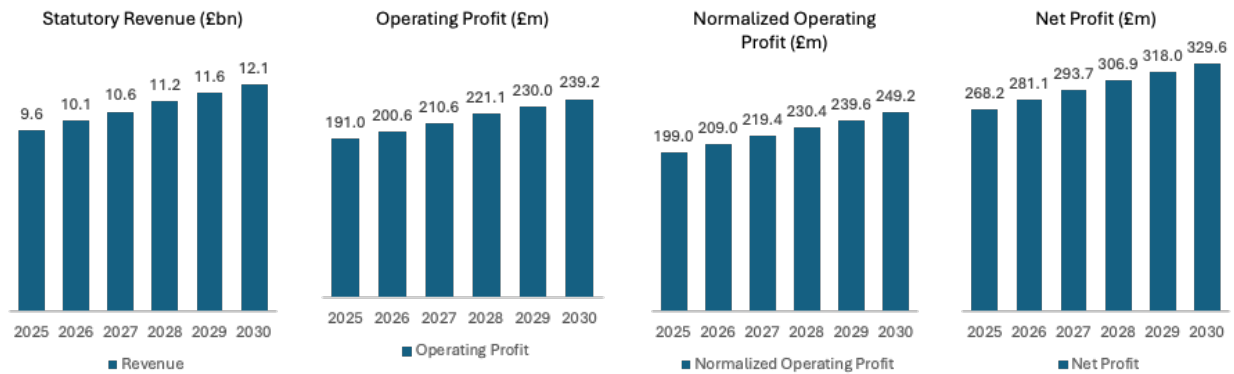
Statutory revenue and net income are estimated to grow by 4.6% 5-year CAGR from £9.6bn (in 2025) to £12.1bn (in 2030), and £268.2m (in 2025) to £329.6m (in 2030) respectively.

Overall, the company outlook indicates a more sustainable strong shareholder value creation due to decreased leverage and the RoE outlook which continues to remain in the double digits (15% to 22.6% from 2026 to 2030).

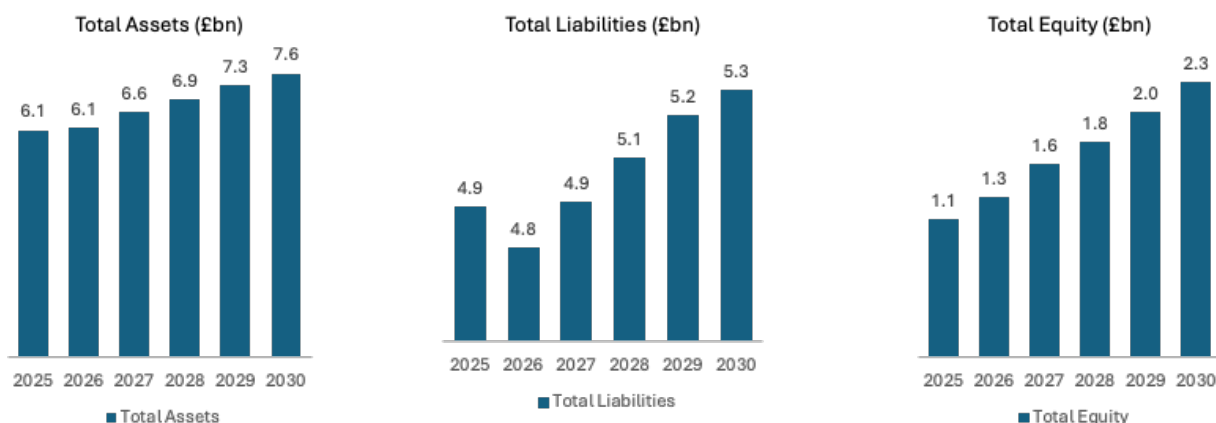
Profitability and Financial Position Forecast Analysis



Profit and Loss Forecast Summary



Balance Sheet Forecast Summary



7. Valuation

Based on the investment research conducted, Balfour Beatty BUY is rated with a target price of 914 pence, representing a 11% upside to the current 826 pence (22 April 2026 close). The target price is anchored to the DCF intrinsic valuation calculated, which was 914 pence under the perpetuity-method output as our headline target. This reflects the in-house view in the study group that Balfour Beatty's exposure to long-duration regulated infrastructure increasingly resembles a perpetual cash-flow stream rather than a multiple-driven exit.

The case rests on two distinct sources of upside that are driven by the same set of structural shifts. The first is the cash-flow build-out modelled in the DCF, where earnings quality is anchored to the 23% expansion in the full year 2025 order book to £22.7bn, and the Group's earnings are increasingly driven by long-duration support services and infrastructure investments rather than purely cyclical construction activity. The second is a P/E multiple re-rating implied by trading-comparables analysis. Both are underpinned by the same drivers identified earlier in this report: UK power transmission and grid investment, the shift toward AMP8 water spending, US Sunbelt non-residential growth, and the maturing Support Services and Infrastructure Investments earnings streams.

7.1. DCF Valuation

Balfour Beatty is valued using a primary five-year discounted cash flow (DCF) model, with a stub period adjustment to reflect the April 2026 valuation date. Two terminal value approaches have

been applied - the Gordon Growth method and an exit EBITDA multiple method, to sanity check intrinsic value.

Revenue growth of 5.0% has been forecast from full year 2026 to full year 2028, moderating to 4.0% in full year 2029 to full year 2030, producing a top-line CAGR of 4.6% over the forecast horizon. This growth rate is materially below the 23% expansion in the full year 2025 order book, acknowledging that order-book conversion into reported revenue is non-linear and procurement timing introduces lag. Holding margin discipline at the full year 2025 group blended level of 3.34% is the most conservative choice of the model. The UK construction margin has already expanded 80bps to 3.5% in full year 2025, Support Services EBIT grew 31% year-on-year, and the Group's mix is shifting toward higher-margin work in power transmission and US non-residential. By holding the margin flat, it is ensured that the DCF does not rely on margin expansions (for a firm still ultimately relying on low-margin cyclical contract work) to deliver fair value.

Unlevered free cash flow build (£'000s)

Driver	FY25A	FY26E	FY27E	FY28E	FY29E	FY30E
Revenue	9,640,613	10,122,643	10,628,775	11,160,213	11,606,622	12,070,887
%growth	-	5%	5%	5%	4%	4%
EBITDA	322,000	338,100	355,005	372,755	387,665	403,172
% margin	3.37%	3.37%	3.37%	3.37%	3.37%	3.37%
EBIT	199,000	208,950	219,398	230,367	239,582	249,165
Tax on EBIT	(36,350)	(38,167)	(40,076)	(42,079)	(43,763)	(45,513)
NOPAT	162,650	170,783	179,322	188,288	195,819	203,652
D&A	124,965	129,150	135,608	142,388	148,083	154,007
ΔNWC	5,000	15,100	15,855	16,648	13,984	14,543
Capex	(135,000)	(141,750)	(148,838)	(156,279)	(162,531)	(169,032)
Unlevered FCF	-	173,283	181,947	191,044	195,356	203,171

A weighted average cost of capital (WACC) of 6.72% has been applied, which sits at the low end of UK contractor WACCs and reflects two foundational characteristics of Balfour Beatty's capital structure that are under-appreciated. First, the Group held an average net cash position of £1.2bn in FY25, which structurally lowers its blended cost of capital and provides resilience through cyclical downturns. Second, a meaningful share of Balfour Beatty's earnings now comes from contracted Support Services Revenue (£1.43bn in FY25, up to 18% YoY) and the Infrastructure Investments portfolio, both of which carry lower business risk than pure construction activity and warrant a lower equity risk premium than a pure-play general contractor would attract.

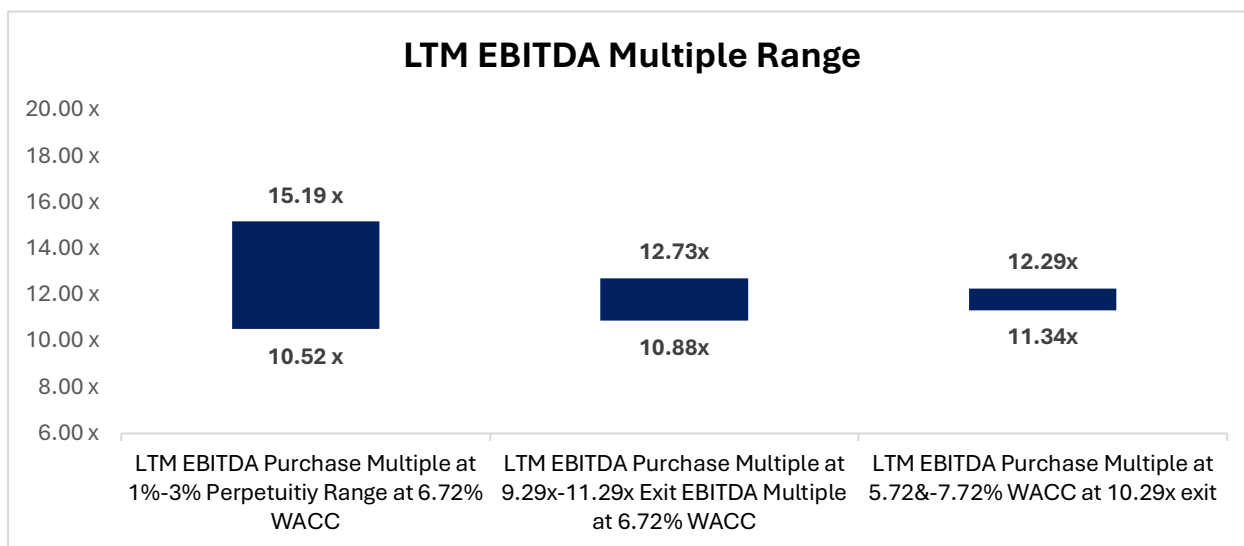
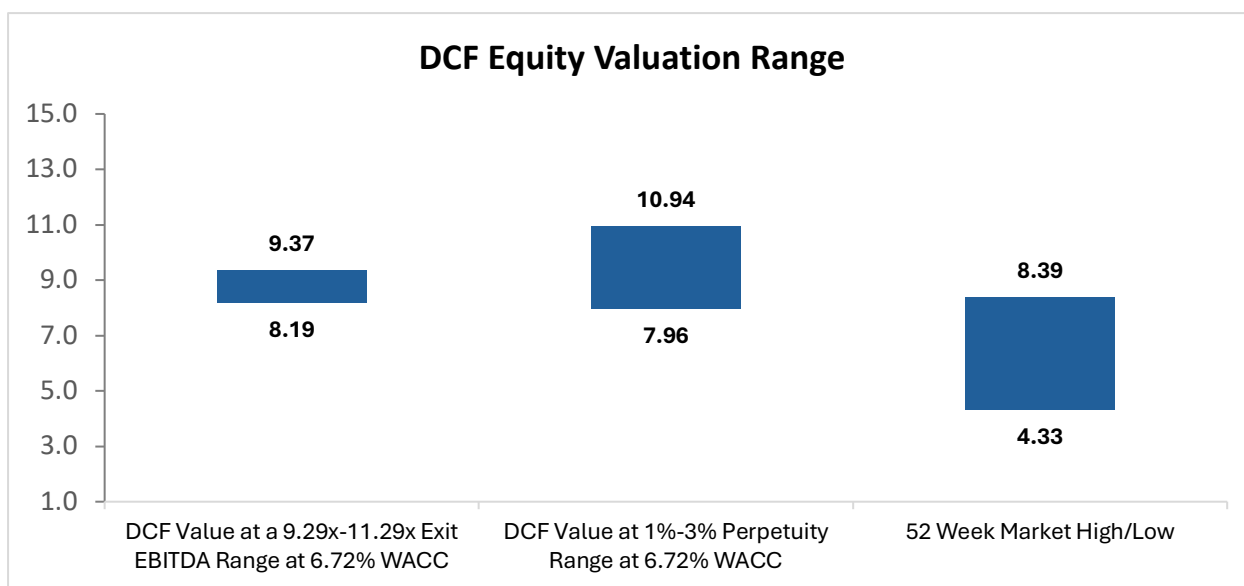
The value has been triangulated using two independent methods to avoid over-reliance on a single set of assumptions. The Gordon Growth method applies a long-term growth rate of 2.0%, which is broadly consistent with the long-run nominal growth rates of the UK and US economies and is modestly below the projected growth in infrastructure capital spending. The exit-multiple method applied a 10.29x EBITDA multiple, sourced from a normalised multiple for a similar construction and engineering peer set, to FY30 EBITDA of £407m. Reassuringly, the two methods reflect internal consistency: the perpetuity model procures an implied exit EBITDA multiple of 10.89x, and the exit multiple models produce an implied terminal growth rate of 1.74%. This triangulation adds weight to the notion that we are not unduly extrapolating either input.

It is acknowledged that the Terminal Value accounts for approximately 81% of total enterprise value under both methods. While this is a high proportion, it is structurally consistent with infrastructure businesses where cash flows are long-dated and where the explicit forecast horizon is short relative to the asset life of specific investments.

Terminal Value and Equity Bridge (£'000s, except per share)

Component	Perpetuity	Exit Multiple
Long-term growth (g)	2.0%	1.7% (implied)
Exit EBITDA multiple	10.89x (implied)	10.29x (input)
FY30 free cash flow / EBITDA	207,234	403,172
Terminal value, FY30	4,390,551	4,148,641
PV of terminal value	3,237,348	3,058,976
PV of stage-1 cash flows	741,708	741,708
Total Enterprise Value	3,979,056	3,800,684
(-) Net debt	(635,000)	(635,000)
Equity Value	4,614,056	4,435,684
Diluted shares outstanding (k)	505,000	505,000
Equity value per share	£9.14	£8.78
Terminal Value as a % of EV	81.4%	80.5%

The equity value per share has been further stress tested across two key dimensions: WACC (± 100 bps) and either the long-term growth rate (1.0%-3.0%) or the exit EBITDA multiple (9.29x-11.29x), see appendix. Two summary football field observations are displayed below. First, the lower bound of the DCF equity range under both methods sits at or above the current share price of £8.26, and the 52-week high of £8.39 has already been touched within the DCF range, confirming the BUY case holds even at the conservative end of the assumption space that our 914 pence target represents. Second, the implied LTM EBITDA multiple required to deliver the DCF target sits within the range US-exposed peers already trade on, meaning the valuation does not require additional multiple expansion beyond the observable pricing to be justified.



7.2. Trading Comparables

Balfour Beatty has been benchmarked against a peer set of six diversified contractors with directly comparable business mixes. Three UK Contractors (Galliford Try, KIER, Morgan Sindall), one Nordic-US-UK multi-region operator (Skanska) and two large US-exposed groups (ACS), which owns Turner Construction and Granite. We have deliberately excluded concession-heavy operators (Ferrovia), US data-centre specialists (Sterling), and consulting-led engineering firms (Tetra Tech) that would distort the comparisons. The peer set produces an average EV/EBITDA of 8.3x, P/E of 21.4x and a dividend yield of 2.7%.

Company	Market cap (£'m)	Price/.Earnings	EV/EBITDA	Dividend Yield (%)	EPS	Beta
Galiford Try	360.4	15.10	5.27	3.77	0.35	0.55
KIER	972.0	15.85	4.86	3.76	0.13	1.30
MORGAN SINDALL	1,806.9	13.58	7.04	2.91	3.11	0.26
SKANSKA	8,323.2	18.90	10.04	3.39	13.76	1.00
ACS	27,643.8	33.75	10.02	1.65	N/A	N/A
Granite	4,008.0	31.26	12.86	0.42	3.86	1.45
Average	7,185.7	21.4	8.3	2.7	4.2	0.9
Balfour Beatty	3,883.8	15.5	8.1	1.6	0.5	0.8

The headline observation is that Balfour Beatty trades broadly in line with the total peer average on EV/EBITDA (8.1x versus 8.3x) but at a meaningful discount on P/E (15.5x versus 21.4x). Splitting the peer set into UK contractors and US-exposed peers brings the analytical insight into focus.

Comparable Companies UK Contractors

Company	Market cap (£'m)	Price/.Earnings	EV/EBITDA	Dividend Yield (%)	EPS	Beta
Galiford Try	360.4	15.10	5.27	3.77	0.35	0.55
KIER	972.0	15.85	4.86	3.76	0.13	1.30
MORGAN SINDALL	1,806.9	13.58	7.04	2.91	3.11	0.26
Average	1,046.4	14.8	5.7	3.5	1.2	0.7
Balfour Beatty	3,883.8	15.5	8.1	1.6	0.5	0.8

Comparable Companies US-exposed peers

Company	Market cap (£'m)	Price/.Earnings	EV/EBITDA	Dividend Yield (%)	EPS	Beta
SKANSKA	8,323.2	18.90	10.04	3.39	13.76	1.00
ACS	27,643.8	33.75	10.02	1.65	N/A	N/A
Granite	4,008.0	31.26	12.86	0.42	3.86	1.45
Average	13,325.0	28.0	11.0	1.8	8.8	1.2
Balfour Beatty	3,883.8	15.5	8.1	1.6	0.5	0.8

On EV/EBITDA, Balfour Beatty at 8.1x already trades materially above the UK contractor average of 5.7x. The market has, on enterprise value terms, already begun to reward Balfour Beatty for its structural differentiation from UK construction peers. However, it continues to sit below the US

exposed peer average of 11.0x on EV/EBITDA, reflecting a business that is clearly transitioning but where the transition has not yet fully crystalized.

On P/E, Balfour Beatty at 15.5x still trades alongside the UK contractor cohort and at a 45% discount to the US-exposed peer average of 28.0x. Even excluding ACS and Granite, which trade at the top of the range, Skanska, the most directly comparable peer in business mix and geographic exposure, trades at 18.9x. The equity multiple has not kept pace with the earnings quality that the EV multiple is telling us about the underling business. The market is rewarding the cash flows but not yet the earnings quality that those cash flows are due to bring.

We believe that the P/E discount to US-exposed peers should compress, as geographic mix continues to shift decisively toward the US through the deliberate pivot toward Sunbelt non-residential markets (aviation, education, healthcare and data centers), and as earnings quality from aforementioned growth drivers continues to ascend, specifically within recurring revenue streams like Support Services.

Combining the two methods creates a clear hierarchy of outcomes, that triangulate around our BUY recommendation. The DCF intrinsic value of 9.14 represents an 11% upside on conservative cash flow assumptions. A partial P/E re-rating to 18.5x would also imply an equity value of approximately £9.85, or 19% above current price.

8. Risks

Exhibit: Risk matrix

Scale: 1 = low, 5 = high

Risk	Impact	Likelihood
Execution and contract risk	5	4
Margin risk on fixed-price work	5	4
Order book conversion and project timing risk	4	3
Labor, subcontractor and supply chain risk	4	3
Health, safety and operational incident risk	5	2
Infrastructure Investments valuation / disposal risk	3	3
Political and regulatory / public spending risk	4	3

- **Execution and Contract Risk:** There is a persistent risk in execution, contract management, and cost control, given Balfour Beatty's role in large, complex, and often prolonged infrastructure projects. Although the Group achieved an 8% revenue increase to £10.8bn, underlying EBIT rose 16% to £293m, and the order book expanded 23% to £23bn, profitability was still constrained by problems with a US Civils contract (Balfour Beatty 2025 Full Year Results, 2026). While management rigor has improved, notably as the UK construction margin rose to 3.5% (Balfour Beatty 2025 Full Year Results, 2026), future earnings and cash flow remain vulnerable to delays, scope changes, adverse contract terms, or project overruns. However, recent margin improvements signal that project selection and delivery discipline have strengthened.
- **Margin risk on fixed-price work:** Fixed-price contracts represent a substantial share of Balfour Beatty's construction activities. If labor, material, or subcontractor costs rise faster than projected, margins are jeopardized. In the Group's Construction Services division, which operates on thin margins, this risk intensifies. Any inability to transfer inflationary pressures will diminish profitability, as divisional EBIT margins are relatively low. The exposure to fixed-price contracts will remain a core vulnerability in the model, even with recent improvements in UK construction margins and the growing presence of high-quality operations such as

Support Services. By enforcing tighter pricing and being increasingly selective with the project portfolio, the risk is partially reduced.

- **Order book conversion and project timing risk:** Especially in public infrastructure sectors; delays in project initiations and earnings recognition can occur due to procurement delays, customer approvals, permitting issues, and slower mobilizations. Therefore, while Balfour Beatty's £23bn order book offers an outstanding medium-term visibility (Balfour Beatty 2025 Full Year Results, 2026), converting it into revenue and profit does not always follow a linear trajectory. The order book does not guarantee smooth short-term delivery, as we view it as a supportive long-term growth driver. However, the Group's diversified exposure across geographies and sectors helps smooth revenue delivery over time.
- **Labor, subcontractor, and supply chain risk:** Shortages in skilled labor, availability of subcontractors, and overall supply chain volatility in its primary markets are challenges the Group continues to face. Especially in technically challenging sectors such as infrastructure and power, the pressures present may lead to increased project costs, delayed delivery schedules, and reduced operating efficiency. Although this remains a pertinent operational risk in both the United Kingdom and the United States, Balfour Beatty's size, established procurement contracts, relationships, and consistent placements on frameworks provide a degree of security compared to smaller competitors. In managing these challenges, we believe the Group is in a stronger position than many of its competitors.
- **Health, safety, and operational incident risk:** Significant health and safety risks are heavily involved in the delivery of construction and infrastructure projects. Considering the scale and complexity of Balfour Beatty's operations, a major operational incident, beyond causing project disruption, will lead to financial penalties, attract regulatory scrutiny, and cause reputational damage. The health and safety risks will remain a fundamental operational priority; even if the likelihood remains comparatively low, the impacts of any critical incident would likely be substantial. What helps mitigate this risk to some extents are the Group's established safety measures, operational controls, and extensive experience in managing complex projects.

- **Infrastructure Investments valuation/disposal risk:** An additional source of value creation is offered through the Infrastructure Investment division; however, it also introduced a greater variability in earnings and cash flows due to asset revaluations and disposals. In FY25, the business made £36m in profit from disposals and £120m in disposal proceeds; however, this was offset by losses related to the US Military Housing Monitors, while the Directors' Valuation decreased to £1.07 billion from £1.25 billion (Balfour Beatty 2025 Full Year Results, 2026). This emphasizes that while the portfolio is strategically valuable, realized value and reported earnings can still be sensitive to disposal timing, market conditions, and valuation assumptions. The management has a history of disciplined capital recycling, which partially mitigates this risk, considering that this division is only one sector of the Group's overall earnings profile.
- **Political and regulation/ public spending risk:** Government-backed infrastructure spending and public-sector capital allocation, particularly in the UK and US, are what a significant portion of Balfour Beatty's addressable market depends on. Future order intake and medium-term growth are influenced by changes in fiscal priorities, regulatory frameworks, or the speed of infrastructure approvals. Current trends, particularly in the UK power transmission sector and US infrastructure, remain favorable, and the group's geographic diversification mitigates the associated risk to a certain extent. However, public spending continues to be a significant external driver of demand and therefore is a material risk factor. Though policy risk must not be overlooked, some protection is provided, given the long-term nature of infrastructure programs.

9. Appendix

FINANCIAL STATEMENT FORECAST

Income Statement (Fiscal Year) GBP						
Company: Balfour Beatty (LON: BBY)						
	FY 2030	FY 2029	FY 2028	FY 2027	FY 2026	FY 2025
	Forecast	Forecast	Forecast	Forecast	Forecast	Actual
Total Revenue	12,070,888	11,606,623	11,160,215	10,628,776	10,122,644	9,640,613
Cost of Revenue	(11,475,549)	(11,034,182)	(10,609,790)	(10,104,562)	(9,623,392)	(9,165,135)
Total Gross Profit	595,339	572,442	550,425	524,214	499,251	475,478
Total Operating Expenses	(356,186)	(342,487)	(329,314)	(313,632)	(298,697)	(284,474)
Total Operating Profit	239,153	229,955	221,111	210,582	200,554	191,004
Interest Expenses	(44,523)	(42,811)	(41,164)	(39,204)	(37,337)	(35,559)
Non Operating Income (Mostly Investment Income)	208,582	201,928	195,530	187,913	180,659	172,716
Taxes	(73,652)	(71,069)	(68,586)	(65,629)	(62,813)	(59,943)
Net Income	329,561	318,004	306,891	293,662	281,063	268,218
Normalised EBIT						
	249,165	239,582	230,367	219,398	208,950	199,000
Balance Sheet (Fiscal Year) GBP						
Company: Balfour Beatty (LON: BBY)						
	FY 2030	FY 2029	FY 2028	FY 2027	FY 2026	FY 2025
Cash and Cash Equivalents	2,077,626	1,977,888	1,854,258	1,767,499	1,630,566	1,662,613
Trade and Other Receivables, Current	1,680,048	1,599,396	1,499,424	1,429,268	1,318,538	1,344,453
Other	633,134	602,740	565,065	538,626	496,897	506,663
Total Current Assets	4,390,808	4,180,023	3,918,747	3,735,393	3,446,000	3,513,729
Trade and Other Receivables, Non-Current	561,957	540,343	519,560	494,819	471,257	448,816
Net Property, Plant and Equipment	428,336	411,861	396,020	377,162	359,202	342,097
Net Intangible Assets	1,342,452	1,290,819	1,241,172	1,182,069	1,125,780	1,072,171
Long Term Investment Assets (Equity and Property)	628,143	603,983	580,753	553,098	526,760	501,676
Other	248,510	238,952	229,761	218,820	208,400	198,476
Total Non Current Assets	3,209,396	3,085,958	2,967,267	2,825,969	2,691,399	2,563,237
Total Assets	7,600,205	7,265,981	6,886,014	6,561,362	6,137,399	6,076,966
Payables and Accrued Expenses, Current	2,263,156	2,204,583	2,147,981	2,082,555	2,019,881	1,959,829
Deferred Liabilities, Current	1,275,209	1,275,209	1,226,163	1,167,774	1,112,166	1,059,205
Other	218,539	210,133	202,051	192,430	183,266	439,840
Total Current Liabilities	3,756,904	3,689,925	3,576,195	3,442,759	3,315,313	3,458,874
Long Term Debt and Capital Lease Obligation	884,236	876,888	861,410	861,410	853,398	845,768
Provisions, Non-Current	382,092	379,787	377,570	374,931	372,417	370,024
Other	278,725	273,874	269,210	263,657	258,368	253,332
Total Non Current Liabilities	1,545,054	1,530,549	1,508,189	1,499,997	1,484,184	1,469,124
Total Liabilities	5,301,957	5,220,474	5,084,384	4,942,756	4,799,497	4,927,998
Paid in Capital	520,626	520,626	520,626	520,626	520,626	520,626
Retained Earnings	1,668,236	1,417,470	1,175,498	941,982	718,532	504,668
Other	91,430	91,430	91,430	143,352	88,292	114,697
Equity Attributable to Parent Stockholders	2,280,292	2,029,527	1,787,555	1,605,960	1,327,450	1,139,992
Non-Controlling/Minority Interests	17,955	15,981	14,075	12,645	10,452	8,976
Total Equity	2,298,247	2,045,507	1,801,630	1,618,605	1,337,903	1,148,969

FINANCIAL ANALYSIS FORECAST SUMMARY

Company: Balfour Beatty (LON: BBY)	FY 2030	FY 2029	FY 2028	FY 2027	FY 2026	FY 2025
	Forecast	Forecast	Forecast	Forecast	Forecast	Actual
Gross Profit Margin	4.93%	4.93%	4.93%	4.93%	4.93%	4.93%
Operating Margin	1.98%	1.98%	1.98%	1.98%	1.98%	2.0%
RoE - Dupont Analysis Breakdown						
Net Profit Margin	2.73%	2.74%	2.75%	2.76%	2.78%	2.78%
Return on Assets	162.39%	164.03%	165.98%	167.40%	165.75%	160.87%
Leverage - Asset Divided by Equity	342.24%	367.86%	393.17%	429.52%	491.15%	513.42%
Return on Equity	15.17%	16.53%	17.95%	19.87%	22.60%	22.98%
Key Balance Sheet Ratios						
Current Ratio	116.87%	113.28%	109.58%	108.50%	103.94%	101.59%
Long Term Debt to Equity	38.47%	42.87%	47.81%	53.22%	63.79%	73.61%

UNLEVERED FREE CASH FLOW BUILD

Unlevered Free Cash Flows

	Actual 31/12/25	31/12/26	31/12/27	Forecasts 31/12/28	31/12/29	31/12/30
Revenue	9,640,613	10,122,644	10,628,776	11,160,215	11,606,623	12,070,888
% growth		5%	5%	5%	4%	4%
EBITDA	322,000	338,100	355,005	372,755	387,665	403,172
% margin	3.34%	3.34%	3.34%	3.34%	3.34%	3.34%
EBIT (NORMALISED)	199,000	208,950	219,398	230,367	239,582	249,165
% margin	2.06%	2.06%	2.06%	2.06%	2.06%	2.06%
Tax on EBIT	36,350	38,167	40,076	42,079	43,763	45,513
Tax Rate	18.3%	18.3%	18.3%	18.3%	18.3%	18.3%
NOPAT	162,650	170,783	179,322	188,288	195,819	203,652
Depreciation & Amortization	124,965	129,150	135,608	142,388	148,083	154,007
Changes in net working capital	5,000	15,100	15,855	16,648	13,984	14,543
Capital expenditures	(135,000)	(141,750)	(148,838)	(156,279)	(162,531)	(169,032)
as a % of revenue	-1.40%	-1.40%	-1.40%	-1.40%	-1.40%	-1.40%
Unlevered Free Cash Flows (UFCF)		173,283	181,947	191,044	195,356	203,171
Net working capital (WC Assets - WC liabilities)	(297,000)	(302,000)	(317,100)	(332,955)	(349,603)	(378,130)
as a % of revenue	-3.13%	-3.13%	-3.13%	-3.13%	-3.13%	-3.13%

Present value of UFCF on April 20, 2025 valuation date

	Val Date	Yr 1 - Stub	Year 2	Year 3	Year 4	Year 5
Date for discounting cash flows	26/4/26	31/12/26	31/12/27	31/12/28	31/12/29	31/12/30
Unlevered free cash flows (UFCF) stub adjusted	69.2%	119,854	181,947	191,044	195,356	203,171
Present value of unlevered free cash flows		114,652	163,091	160,434	153,725	149,807

TERMINAL VALUE CALCULATIONS

Terminal Value - growth in perpetuity approach

Long term growth rate	2.0%
2030 FCF * (1+g)	207,234
Terminal Value in 2030	4,390,551
Present Value of Terminal Value	3,237,348
Present value of stage 1 cash flows	741,708
Total Enterprise Value (TEV)	3,979,056

Terminal Value as % of TEV	81.4%
Stage 1 cash flows as % of TEV	18.6%
Implied TV exit EBITDA multiple	10.89 x

Net Debt

Source	2025 Report
Source Date	12/4/26

Gross Debt and Equivalents

Debt + Capital Leases	1,023,000
Convertible Debt	0
Preferred Stock	0
Noncontrolling interests	9,000

Nonoperating assets

Cash	1,667,000
Equity Investments	0

Net debt

(635,000)

Valuation

	Perpetuity	EBITDA
Enterprise value	3,979,056	3,800,684
Net debt	(635,000)	(635,000)
Equity Value	4,614,056	4,435,684
Shres Outsanding	505,000	505,000
Equity value per share	£ 9.14	£ 8.78

Terminal value - EBITDA multiple approach

Terminal Year EBITDA	403,172
EBITDA multiple	10.29 x
Terminal value in 2030	4,148,641
Present Value of Terminal Value	3,058,976
Present value of stage 1 cash flows	741,708
Enterprise Value (stage 1+2)	3,800,684

Terminal Value as % of TEV	80.5%
Cash flows as a % of TEV	19.5%
Implied Terminal Growth Rate	1.7%

Net diluted shares outstanding 505,000

SENSITIVITY ANALYSIS

		Equity Value per share					
		Long Term growth rate (g)					
	€	9.14	1.0%	1.5%	2.0%	2.5%	3.0%
WACC		7.72%	6.96	7.32	7.75	8.26	8.89
		7.22%	7.42	7.86	8.38	9.01	9.79
		6.72%	7.96	8.49	9.14	9.93	10.94
		6.22%	8.61	9.27	10.08	11.10	12.45
		5.72%	9.40	10.22	11.27	12.63	14.50

		Equity Value per share					
		Exit EBITDA Multiple					
	€	8.78	9.29 x	9.79 x	10.29 x	10.79 x	11.29 x
WACC	7.72%		7.92	8.21	8.49	8.77	9.05
	7.22%		8.06	8.35	8.63	8.92	9.21
	6.72%		8.19	8.49	8.78	9.08	9.37
	6.22%		8.34	8.64	8.94	9.24	9.54
	5.72%		8.48	8.79	9.10	9.40	9.71

		Year 1 EBITDA Multiple				
		Long Term growth rate (g)				
12.36 x		1.0%	1.5%	2.0%	2.5%	3.0%
WACC	7.72%	8.94 x	9.51 x	10.19 x	10.99 x	11.96 x
	7.22%	9.66 x	10.35 x	11.17 x	12.16 x	13.38 x
	6.72%	10.52 x	11.35 x	12.36 x	13.60 x	15.19 x
	6.22%	11.54 x	12.56 x	13.83 x	15.44 x	17.55 x
	5.72%	12.77 x	14.06 x	15.70 x	17.84 x	20.78 x

		Year 1 EBITDA Multiple				
		Exit EBITDA Multiple				
WACC	11.80 x	9.29 x	9.79 x	10.29 x	10.79 x	11.29 x
	7.72%	10.45x	10.90x	11.34x	11.78x	12.22x
	7.22%	10.66x	11.12x	11.57x	12.02x	12.47x
	6.72%	10.88x	11.34x	11.80x	12.26x	12.73x
	6.22%	11.10x	11.57x	12.04x	12.52x	12.99x
	5.72%	11.33x	11.81x	12.29x	12.78x	13.26x

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